

CROX pitch deck

PITCH — CROX — VERDICT

PROPOSED — PENDING ADJUDICATION — No purchase at ~\$119; buy a 0.4%-of-book starter at \$115 or better *only if* the adjudicator rules the Malta tax structure a priceable risk rather than an integrity problem — otherwise stay flat and re-open the case at \$105.

What we believe

Crocs is two businesses stapled together. The core Crocs brand still works: it grows, it earns roughly 60% gross margins, and its direct-to-consumer channel was up ~13% last quarter. HEYDUDE, the brand bought in 2022, is broken: revenue is down roughly a quarter from two years ago and the company already wrote off \$737M of it (a \$430M trademark writedown plus \$307M of goodwill in Q2 2025). The market has stopped paying for HEYDUDE — that part is done and is not the debate.

The live claim is narrower and mechanical. In its Q2 2026 release the company told investors, in writing, that its Q3 guidance **excludes** money it expects to get back from the government: refunds of tariffs collected under the IEEPA program. It has already received about \$20M of that after quarter-end and says total eligibility is roughly \$70M. Wall Street's Q3 estimate is \$3.54 per share; the company guided \$3.20–\$3.30. That \$0.24–\$0.34 gap is almost exactly the \$20M refund divided by the share count (\$0.34). In plain terms: analysts are counting money the company deliberately left out of its own forecast, and the market appears to be reading the resulting gap as a warning sign when it is an accounting choice.

So our belief is: **the guide is conservative, not weak; underlying operating profit is growing modestly (~3%); and there is roughly \$1.20 per share of excluded refund money plus possible ongoing cost relief that neither the guide nor most models carry.**

What we do *not* believe is that this makes the stock cheap. Our own estimate of fair value is about **\$123** against a ~\$119 price. That is a fair price for a decent business, not a bargain.

What the market believes

The market believes three things at once, and they are not fully consistent:

1. **HEYDUDE is a permanent impairment.** Broadly right, and priced. The stock trades at roughly 9× forward earnings versus low-to-mid teens for footwear peers historically.
2. **The Q3 guide is a guide-down.** We think this is the mistake — the gap to consensus is the excluded refund, not deterioration.
3. **The tax rate is not real.** Crocs guides an 18% adjusted tax rate off an Irish/Maltese IP structure while its GAAP rate runs ~22.4%. The market appears to be capitalizing something closer to the

GAAP rate, and possibly worse. This is the single largest valuation lever in the name and it is a judgment call, not a fact.

The 16% decline from the \$141.19 high set on August 4 was not one event. It was nineteen sessions of steady distribution. The two events our original brief blamed — a Malta tax news story on 8/5 and a sector selloff on 8/25 — account for about 5 points of a 16-point move, and the largest single down day in the window (8/11, -4.69%) is explained by neither. That day sits inside a cluster of insider filings (Form 4s on 8/6 and 8/11; Rule 144 notices on 8/7 and 8/10). We have not read those filing bodies. Insider distribution is a plausible explanation, not a confirmed one.

Why we might have edge

- **We read the reconciliation table.** The exclusion language — *“This estimate does not include the receipt of potential IEEPA tariff refunds, as we are not able to predict the timing”* — is in the earnings release, and the 10-Q adds that no benefit has been recognized because the refunds are a gain contingency. Management never mentioned the refund on the earnings call. The vetted legal document carries the driver; the marketed venue does not. That asymmetry is exactly the kind of gap where a careful reader gets paid.
- **We sized the total, not the tranche.** Almost everyone anchoring on this will anchor on the ~\$20M already received. The 10-Q says eligibility is ~\$70M. That is ~\$1.20 per share after tax, entirely outside guidance.
- **The share count moved a lot and fast.** 47.9M shares outstanding as of July 23, down from ~55.8M a year earlier. Anyone using a stale denominator — including our own initial brief, which used ~52M — gets every per-share number wrong.
- **Small-position advantage.** At the size we would take, we can wait for our price. Nobody has to own this at \$119.

Why it might be priced in

Honestly: mostly it is.

- At ~\$119 against our \$123 estimate, the entire edge is 3%. That is inside the error bar of our own multiple assumption, which is *unverified* — we used 9–10× because that is roughly where the stock has traded since HEYDUDE broke, but we did not build the comparable set this session.
- The refund is public information in a public filing. We are not first, we are just early to arithmetic anyone can do.
- The buyback is real and large (\$251M in one quarter, ~\$2.0B of authorization left) but it is also visible to everyone and partly funded with a drawn revolver — \$1,334M of face debt including \$134M on the revolver. Buybacks funded by borrowing against a shrinking top line (revenue is down ~6% over two years) are a known, discounted pattern.
- The tax question is the actual valuation driver and we have no informational advantage on it whatsoever. We are guessing at the same rate everyone else is guessing at.

Verdict on this section: the *earnings* misunderstanding is probably real and probably worth \$0.25–\$1.20 per share. That is 0.2%–1% of the price. It is not a thesis. The thesis would have to be that a 9× multiple on a brand-A-still-works franchise is too low, and we have not proven that.

What could go wrong

Failure narrative 1 — The core brand rolls over and we never see it coming (NO MONITORABLE TRIPWIRE). Everything above assumes the Crocs clog itself remains desirable. Clogs were a fashion cycle; fashion cycles end. If core Crocs DTC goes from +13% to flat over two quarters, there is no filing, no 8-K, no tape signal, and no regulatory event that tells us in advance. We would learn it from the print, ~16% lower. The unknown-unknown class here is **taste/attention regime change that leaves no trace in financial disclosure** — the thing that killed Skechers' first cycle, Heelys, and Ugg's mid-2010s stall. Our best instruments for this are consumer app-review velocity and consumer product heat, and **both were permission-blocked this session** for both benches. We are going in with our most relevant sensor unplugged and we should say so out loud rather than pretend the risk is covered.

Failure narrative 2 — The tax structure gets challenged. The 18% adjusted rate depends on an Irish/Maltese intellectual-property arrangement. If the IRS or an EU authority challenges it, the rate goes to ~24%+, and roughly \$1.00 per share of earnings disappears permanently, plus back-tax exposure. At 9× that is ~\$9 of value, and the multiple would likely compress too — call it \$20–25 of downside. This one *does* have a tripwire (any 8-K disclosing an IRS notice or tax reserve build; a jump in the GAAP rate; new uncertain-tax-position disclosure in the 10-Q), which is why it belongs in the sensor list rather than in the unknowable bucket.

Failure narrative 3 — The refund is right and it doesn't matter. We could be completely correct that Q3 beats the guide on the refund, the stock pops on the print, and then gives it all back within a month because a one-time customs credit is worth exactly one quarter and the market re-focuses on a business with declining two-year revenue. Being right about the arithmetic and wrong about what it's worth is the most likely way this "works" and still loses money. Tripwire: if the stock rallies on the Q3 print but the company does *not* raise the underlying full-year outlook, we are in this scenario and should trim, not add.

The reflexive and structural leg. Our own size is not the problem. A 0.4% starter is tens of thousands of dollars against a stock that trades hundreds of millions a day — we cannot move it. But we must be honest that **we did not measure average daily volume this session**: IBKR quote and contract permissions were denied in both bench runs, so we have no live bid/ask, no implied volatility, and no volume. We are asserting liquidity from general knowledge, not from a reading.

The real structural exposures are these:

- **We are riding a price-insensitive buyer we do not control.** The company is retiring roughly 11% of its shares a year, partly on borrowed money. That buyback is a meaningful share of daily volume and it is the reason the stock has a floor. If a covenant tightens, a rating agency moves, or management decides to deleverage instead, that bid vanishes at exactly the moment we

would want it. We would be buying the pullback that our own thesis-partner just stopped preventing.

- **Two of our own rules point in opposite directions, and a classification — not a fact — decides the case.** One rule says that when adversarial review produces no genuinely new objection (here: zero novel kills, two well-known ones), a fairly-priced name gets a minimum starter rather than a zero. Another rule caps anything with an integrity overhang at $0.85\times$ fair value, which here is \$105. Same evidence, two answers \$14 apart. That is a governance risk, not a market risk: we could manufacture an entry out of a definitional choice. This is precisely why the deck is marked pending adjudication rather than proposing a buy today.
- **Our pay-up allowance is not available here.** We are permitted to pay a fair-to-modestly-rich price for a genuinely verified fair value. Ours is not verified — the $9\text{--}10\times$ multiple is a stated assumption. So the “it’s roughly fair, just start” argument is not open to us at \$119.
- **Tax clock.** Any entry starts a short-term holding clock, and the catalyst is ~ 2 months out. A win taken quickly is taxed at the high rate; that should push us toward a price low enough that we would be happy holding through a full year, which argues for \$115 or better rather than \$119.

If this position loses money, the most likely reason will be **that we correctly identified a small, one-quarter accounting misunderstanding and mistook it for a reason to own a business whose core brand demand was already quietly turning over — a turn our two best consumer sensors were switched off for.**

What we checked ourselves

Claim	How checked	Found	Confirmed?
The \$20M tariff refund is buried inside Q3 guidance, making the guide fake	Read the Q2’26 earnings release reconciliation and the 10-Q directly	The release says the opposite in plain words: <i>“This estimate does not include the receipt of potential IEEPA tariff refunds.”</i> The 10-Q adds that no benefit was recognized under the gain-contingency model	NO — our own skeptical bench got this backwards. It built two of its findings, both labeled fatal, on an inference it never checked against the sentence in the release. Both collapse
Q2’26 gross margin fell 230 basis points, implying an impossible 400bp swing to hit the Q3 guide	Compared GAAP vs adjusted margin lines	-230bps is the GAAP figure; adjusted was 60.0% vs 61.7% = -170bps . And the 10-Q names the driver: 170bps of incremental duties in a quarter whose year-ago base had none, lapping into a Q3 base that already carried duty cost	NO — bench error. Mixing GAAP and adjusted margins manufactured the anomaly
Wall Street sits $\sim 20\%$ above true Q3 earnings power	Rebuilt the bridge with the refund left outside the guide, where the company put it	Street $\$3.54$ vs guide mid $\$3.25$ is $\sim 9\%$, and the gap equals the excluded refund at $\$0.34/\text{share}$	NO — bench error, fully explained
Total refund exposure is \$20M	10-Q	$\sim \$70\text{M}$ eligible; $\sim \$20\text{M}$ received to date. $\approx \$1.20/\text{share}$ after tax, all outside	YES — and both the original brief and the

Claim	How checked	Found	Confirmed?
		guidance	skeptical bench missed the \$70M figure entirely
Diluted share count ~52M	10-Q cover page + Q2'26 release	47,945,075 outstanding at 7/23/26; 49.628M weighted diluted in Q2	NO — the original brief was wrong. Every per-share number in it was off by ~8%. The skeptical bench caught this correctly
The decline was two identifiable events (8/5 news, 8/25 sector day)	Daily closing prices	High was \$141.19 on 8/4 , not 8/5. 8/5 = -2.74%; 8/25 = -2.34% (not the -4.4% claimed); 8/24 was + 3.05% and 8/26 +0.61%, so the “sector selloff” was net flat. Largest down day was 8/11 , - 4.69% , unexplained by either bench	NO — the brief's story was wrong. This is a 19-session distribution, not a two-event dislocation
The tax haircut should be 18% → 24.5%	Transcript + 10-Q	Management says 18% adjusted “approximates cash taxes paid” and separately guides 23% GAAP; actual Q2'26 GAAP was 22.4%, YTD 22.7%	PARTIAL. The skeptical bench's <i>number</i> (use ~23%) is defensible; its <i>reasoning</i> (that a haircut double-counts the GAAP rate) is wrong, because the GAAP rate already contains the Malta benefit and an unwind pushes past it
Our fair-value cap was properly applied	Doctrine check	The brief capped at $0.85 \times$ a consensus price target (\$138.25), which is the weakest anchor we have, and decided flat/starter inside a 0.8% band without ever publishing its own multiple	NO — doctrine misapplied. Corrected below by publishing an actual estimate
Fair value	FY26 adjusted EPS \$13.85 at the guided 18% rate → \$12.84 at a 24% unwound rate; $9-10\times$ (post-HEYDUDE trading range, UNVERIFIED) = \$116–128; plus ~\$1.11 of one-time refunds	E[fv] ≈ \$123. $0.85\times = \$105$	PARTIAL — the multiple range is an assumption, not a verified comparable set
HEYDUDE deceleration is just an easy comparison	Primary releases, two-year stack	Real level damage: Q3'25 was \$160.1M, -21.6% from \$204.1M; the Q3'26 guide implies -24% on a two-year stack. But the company raised its full-year HEYDUDE guide (from -5%/-7% to -2%/-4%)	PARTIAL. Damage is real; a forward raise is not a comp artifact. Our seasonality tool was unrunnable for both benches

Claim	How checked	Found	Confirmed?
Leverage-funded buyback	10-Q	\$1,334.0M face debt including \$134.0M drawn on the revolver; \$251M / 2.3M shares repurchased in Q2; ~\$2.0B authorization left; ~1.4× gross leverage	YES — fact confirmed, but this is a well-known concern, not a new discovery
“16% off the high” means dislocation	Price pack	Down 15.5% from the 52-week high, but still 63% of the way up from the 52-week low of \$73.21. Range position is not valuation	The “buy the dislocation” premise fails. The valuation case has to stand on its own, and it stands at roughly fair
Consumer demand cross-checks	Attempted app-review velocity and consumer-heat connectors	Permission-denied for both benches. DTC +13% is the load-bearing bull fact and it is the one thing we could not independently corroborate	NO — highest-value uncollected evidence in the case
Live market data	IBKR quote/contract calls	Permission-denied. No bid/ask, no implied volatility, no volume. Three different prices appear across our own documents (\$118.49 / \$119.14 / \$119.35)	NO — unresolved

PROPOSED ENTRY BANDS

Both benches agree on one thing: no purchase at \$119. Fair value is ~\$123 against a ~\$119 price; a 3% gap inside an unverified multiple is not an entry, and our pay-up allowance explicitly does not extend to unverified fair value.

The decision forks on one classification the adjudicator must make: **is the Malta/Ireland tax structure an integrity problem or a priceable risk?** It is a disclosed, legal structure with no restatement, no inquiry, and no enforcement action of record. Our view is that this makes it a quantifiable rate-and-audit-tail risk (handled with a price and a size) rather than an integrity overhang (handled with a hard 0.85× cap). But that is the adjudicator’s call, not ours.

Branch A — ruled a priceable risk (NOT an integrity overhang): - Starter: buy 0.4% of book at \$115.00 or better. \$115 is a ~6.5% discount to our \$123 estimate and ~9.0× the tax-adjusted \$12.84. - **Add: a second 0.4% at \$105.00 or better** — this is the 0.85 × \$123 line, and it is also where the low end of the multiple range (\$116) has broken, meaning the market is telling us something our model doesn’t have. Derived by us, not by either bench. - **Maximum total: 0.8% of book.** No third tranche without a new, verified fact — specifically a working consumer-demand read on core Crocs. - **Trim: sell half at \$128** (top of the \$116–128 valuation band) or on the Q3 print if the stock rallies but the company does **not** raise the underlying full-year outlook — see failure narrative 3. - **Exit entirely** if HEYDUDE Q3 revenue comes in below \$155M, or if any 8-K discloses an IRS/Malta challenge.

Branch B — ruled an integrity overhang: - FLAT. No entry at any price above \$105. Re-open the case only below \$105, and re-court it rather than buying on the old work.

Catalyst dates: - ~**2026-10-09 (estimated, UNCONFIRMED)**: the press release announcing the Q3 call date. Last year's equivalent came out 2025-10-09 for a 10-30 call. This is our first hard, checkable date. - **2026-10-29 (UNCONFIRMED)**: estimated Q3 2026 earnings. This date is derived from a data vendor, not from any company announcement, and must be confirmed before anything is sized around it. That is ~41 trading sessions out — well outside the window where a print forces a decision. - **Undated**: resolution of the IEEPA tariff litigation, which would convert a one-time ~\$70M refund into ongoing cost relief. No schedule; treat as free optionality, never as a reason to size up.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 105.0 (deck-provisional: $0.85 \times E[fv]$ - add level if ruled priceable risk, re-court trigger if ruled integrity overhang)
- filing watch: 8-K,10-Q until 2027-02-27 (deck-provisional: any IRS/Irish/Maltese tax inquiry, notice, or reserve build - the largest quantified downside (~\$20-25))
- dated pack CROX|2026-10-09: CROX: estimated date of the Q3 call-announcement press release, from the 2025 analogue - first checkable date (date confirmed=False)
- dated pack CROX|2026-10-29: CROX: estimated Q3 2026 earnings; vendor-derived, no company PR names it (date confirmed=False)

What remains unverified

- **The multiple.** Our \$123 estimate rests on 9–10×, described in our own work as the post-HEYDUDE trading range but never built from a comparable set. The whole fair-vs-cheap conclusion moves \$12 per turn.
- **The tax rate.** We assume ~24% in an unwind scenario. Nobody outside the company and its counsel knows the real distribution of outcomes here.
- **The consumer.** Core Crocs DTC +12.9% is management's number, uncorroborated by any independent read, because our consumer sensors were unreachable.
- **The print date.** 2026-10-29 comes from a data vendor. No Crocs press release has named it.
- **The price.** \$118.49, \$119.14, \$119.35 across our own documents; no live quote, no volume, no options data.
- **Whether the guide really excludes the refund in practice.** The company says it does, in writing. But that is a statement of intent about a gain contingency, and the proof arrives only with the Q3 reconciliation table.
- **The 8/11 insider cluster.** Filings exist; we have not read them.
- **Whether “o novel objections survived” means what our rules say it means.** Our doctrine treats a clean adversarial review of a fairly-priced name as an argument for a minimum starter. We flag plainly that this rule can convert “we found nothing new” into “buy something,” and that it is doing real work in Branch A above.

- **The one Wall Street outlier.** A Stifel Hold with an \$85 price target was mentioned by one bench with the date unverified. If real, the \$138 average price target hides a much wider range than a single number suggests.

Primary sources. Q2 2026 Form 10-Q, filed 2026-07-30, accession 0001334036-26-000052: <https://www.sec.gov/Archives/edgar/data/1334036/000133403626000052/> (URL constructed from the accession number in the evidence pack; not re-fetched in this session). Q3 2025 results press release, used for the year-ago margin and HEYDUDE base: <https://investors.crocs.com/news-and-events/press-releases/press-release-details/2025/Crocs-Inc-Reports-Third-Quarter-2025-Results/default.aspx>. Daily closing prices used to correct the price-attribution story: <https://stockanalysis.com/stocks/crox/history/>.

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